



Startup PayPulse Report 2023

Deep Dive On Startup Compensation Trends And Insights

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NAVIGATING THE TALENT LANDSCAPE



Over the past decade, the Indian startup ecosystem has come a long way. With rising aspirations, deepening penetration of technology and an increasing number of young entrepreneurs, the country is now home to the third-largest startup ecosystem in the world.

However, the road to startup success isn't without its obstacles. One of the significant challenges founders face today is attracting and retaining top talent while managing their budgets effectively. It's becoming increasingly critical for entrepreneurs to be cognizant of the shifting compensation and talent trends to stay competitive.

The Elevation Startup Compensation Report 2023 provides valuable insights into the macro hiring outlook and trends in compensation across various roles to enable early- and mid-stage startups to make informed decisions along with salary benchmarks for various roles to remove discrepancies.

The report leverages our vast network of entrepreneurs and our decades of experience helping them with their talent needs. It includes salary references for all key job functions, and insights on how these are evolving and transforming as the ecosystem matures.

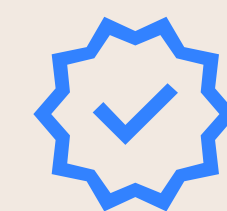
We thank the founders and HR teams of various companies for their support in compiling this report. We would also like to thank our recruitment partners, including FIDIUS Advisory and Transearch, for their assistance.

Research Methodology

Data for this report was collected from a diverse range of sources, including 200+ startups and thousands of candidates, and reaffirmed by our consulting partners. This makes the information in this report the most up-to-date and accurate available salary data for the ecosystem.

200+
STARTUPS

1000+
CANDIDATES



**VERIFIED BY
EXPERTS**



“ In the face of macro challenges, **Indian startups are showcasing adaptability by offering inflation-led salary increments to attract and retain talent.** However, the variation is significant, with technology professionals in small to mid-size startups seeing moderate increments. For leadership roles, we are seeing compensation correction and restructuring as well as new stock grants instead of cash increments. The prominence of equity compensation in the startup ecosystem has been growing due to increasing liquidity events. **We are observing a cultural shift in how ESOPs are viewed by employees and startups, with higher buy-in at the leadership level.** We anticipate demand for AI talent to stay elevated going forward, followed by product, engineering and other functions. ”

Kallan H

VP – Talent,
Elevation Capital

“ With a significant talent pool of mid to senior-level executives available in the market, **companies are focusing their efforts on a select few roles, investing more time to ensure the perfect fit.** The shift in the market situation has led to a correction in salaries, though largely at the leadership level. **Interestingly, on the other hand, job seekers are willing to wait longer for the right job opportunity than settle for less-than-ideal pay.** ”

Dipesh Jain

AVP – Talent,
Elevation Capital

REPORT HIGHLIGHTS



8-12%

AVERAGE SALARY INCREMENT
IN FY 2022-23

15-20%

HIKES FOR ENTRY- MID LEVEL
ROLES IN SMALL TECH TEAMS



LEADERSHIP ROLES SEE
DEFERRED INCREMENTS



BENGALURU AND HYDERABAD
TOP IN TECH TALENT
AVAILABILITY



PERFORMANCE & PROMOTION
TOP CONSIDERATIONS
FOR HIKES

10-50%

OF SALARY IN THE FORM
OF ESOPs FOR ENTRY-MID
LEVEL CANDIDATES

0.2-1.5%

OF EQUITY AS ESOPS FOR
LEADERSHIP POSITIONS

40-50%

OF WORKWEEK LIKELY TO
BE IN WFH MODE

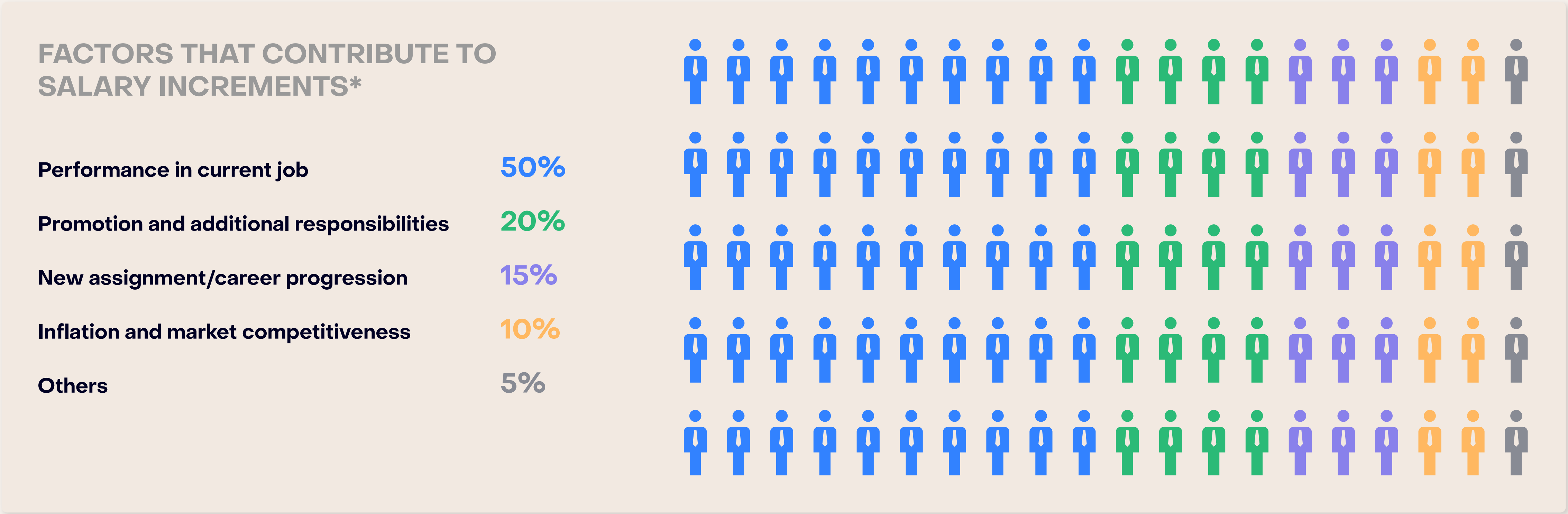


CHIEF OF STAFF, GROWTH &
FINANCE ARE SOUGHT-AFTER
STARTUP ROLES

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COMPENSATION TRENDS

3Ps THAT DICTATE HIKE: PERFORMANCE, PROMOTION, AND PROGRESSION

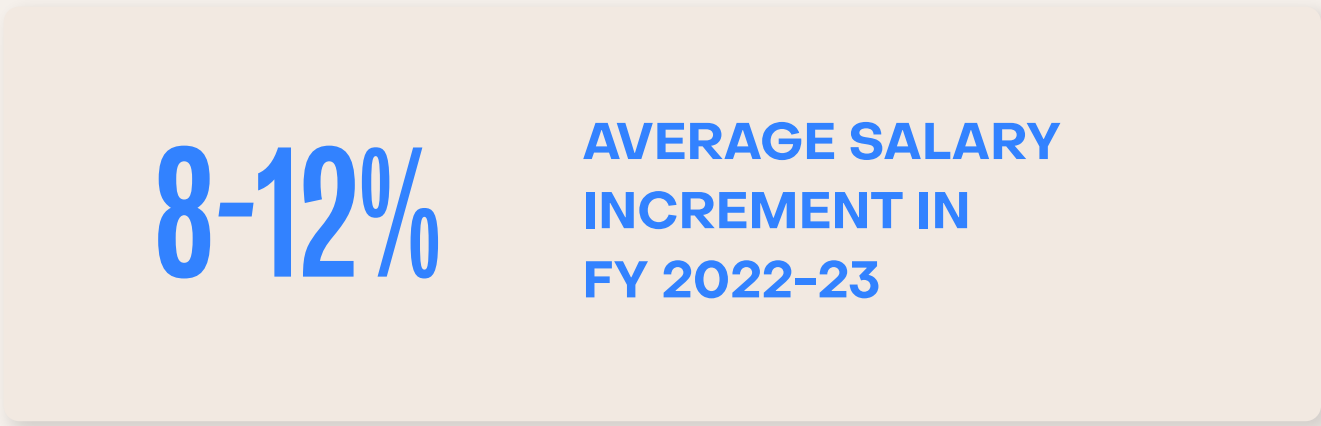


*In order of importance

THE AVERAGE HIKE PICTURE



For 2022-23, the average salary increments are between 8-12%, with the variation attributable to several factors, including individual and company performance, the quality and level of talent, and location.



VARIATIONS IN SALARY HIKEs ARE DUE TO:

- Individual Performance
- Employee Rank
- Company Performance
- Location
- Quality of Talent



Rethinking Hikes

Some companies, particularly mid to large organizations, have chosen to reconsider salary increments for the year.



Swapping Cash for Equity

Some organizations have decided to replace cash increments with additional stock grants for their employees.



Pay Hikes on Pause, Selectively

Around 25% of companies have deferred salary increments for one or two quarters, but there have been a few cases where specific functions have received raises.



ESOP as an Increment Tool

For leadership roles, such as CXOs and function heads, it may be more appropriate to explore stock-based increments while also planning to reassess the cash component in a few quarters.

TECH SALARY TRENDS



Tech roles see moderate raises

Technology roles in early-stage startups see salary increments ranging between 8-12%. Overall salary increase trends are cooling down in the technology sector.

8-12%

AVERAGE HIKES FOR
TECH ROLES

Small teams fare better but fewer receive top-tier hikes

For small startups with technology teams of less than 40 people, salary increments for entry and mid-level tech roles have been in the range of 15-20%. This has been achieved through strategic planning and optimization of resources based on the specific needs of the organization. These companies firmly believe this talent pool will be a key driver of their success over the next year. Despite variations in macro factors, technology function has still seen some significant hikes in the range of 20-25%. However, not more than 10% of any company's overall workforce has received such increases this year.

15-20%

HIKES FOR ENTRY AND
MID-LEVEL ROLES

Performance payouts see huge variations

Companies have been offering performance bonuses or variable payouts of 50-100% of an employee's variable component. However, we have not observed any multipliers being applied to these payouts.

50-100%

OF VARIABLE
COMPONENT AS
PERFORMANCE PAYOUT

LEADERSHIP SALARY TRENDS



The average salary increase for leadership roles in startups has been 8-10%.

We observed companies deferring salary increments or providing new stock grants in lieu of cash increments.

Macro environment prompted compensation correction and restructuring for executive leadership teams.

8-10%

SALARY INCREASE
FOR LEADERSHIP
ROLES

LEADERSHIP PROVIDED
STOCK GRANTS INSTEAD
OF CASH INCREMENTS

EXECUTIVES SEE
COMPENSATION
RESTRUCTURING

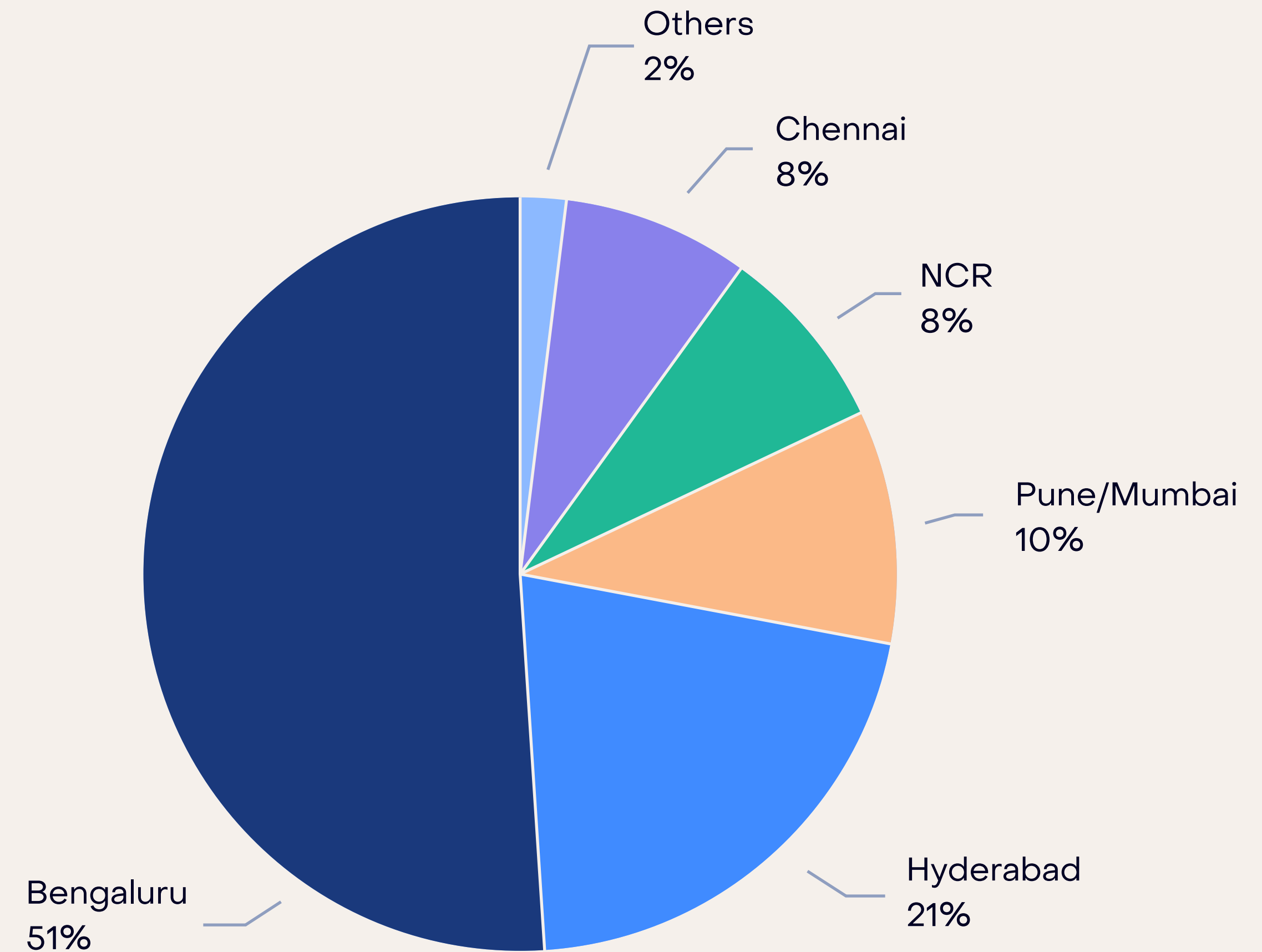
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TALENT TRENDS

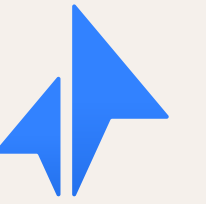
HOW IS INDIA'S TECH TALENT DISTRIBUTED?



- Companies seeking to establish or expand their presence may find a larger tech talent pool in cities like Bengaluru and Hyderabad.
- However, a number of other qualitative factors should be taken into consideration, such as the cost of hiring, the skill level and quality of the available talent, attrition rates, and the cost of living in these locations.



STARTUPS EMBRACE BEST OF BOTH WORLDS WITH HYBRID MODEL



**DOWNWARD TREND IN
FULLY REMOTE WORK**

We're witnessing a downward trend in fully remote work setups. While such roles will remain, their prevalence is declining.



**COMPANIES LEVERAGE
IN-OFFICE AND REMOTE
SETUP OPTIONS**

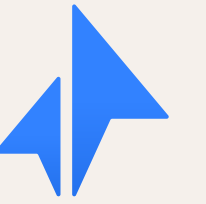
The hybrid model has become the new normal, allowing companies to leverage the advantages of both in-office and remote setups.

40-50%

**OF WORKWEEK IN
WFH MODE**

We believe employers are likely to permit their staff to work remotely for approximately 40-50% of the workweek.

ESSENTIAL EARLY HIRES IN STARTUPS



Some of the critical roles filled among the first few hires at early-stage companies are Chief of Staff/CEO's Office, Growth, and Finance.



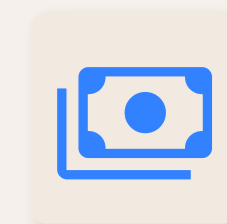
Chief of Staff/CEO's Office/Founder's Office

As generalists with broad skill sets, individuals in these roles provide support to founders across functions, including hiring, managing special projects, stakeholder management, and investor relations. Recognizing their value, early-stage companies demonstrate flexibility in offering competitive compensation for these roles. Candidates with experience from top-tier consulting firms like McKinsey, Bain, and BCG are particularly sought after, with previous startup exposure acting as an added advantage.



Growth Hackers

Growth Hackers are niche but sought-after professionals who help businesses organically acquire and retain customers through creative low-cost strategies by combining marketing, data analysis and technology skills.



Finance

This is a specialized role that manages all aspects of a company's finances, including accounting, financial planning, funds, compliance, legal issues, and payroll.



ESOPs

THE INCREASING APPEAL OF EQUITY COMPENSATION - A CULTURAL SHIFT



The prominence of equity compensation in the startup ecosystem has notably amplified over the past decade. A primary driver behind this trend has been the increasing frequency of liquidity events, instilling greater confidence in ESOPs. They have become a pivotal tool for aligning employee objectives with that of the companies. As we move forward, we anticipate this instrument to achieve its stated objectives with even greater efficiency. Traditionally, listed companies have observed high confidence levels in equity compensation. This trend is now picking up in unlisted firms and startups, elevating the appeal of ESOPs. We are observing a cultural shift in how ESOPs are viewed by employees and startups.

WHY ESOPS?



Talent attraction and retention



Aligning employee and company goals



Incentivizing performance and fostering ownership



Cash cost efficiency

DECODING ESOP TRENDS



10-50% OF CASH COMPONENT

For entry to mid-level roles in startups ranging from seed to Series B stages, ESOP allocation typically constitutes 10-50% of the cash component offered to candidate.

0.2-1.5% OF EQUITY AS ESOP FOR LEADERS

In the case of leadership roles – including CXOs, function heads, and founding teams – the allocation generally falls between 0.2% and 1.5% of the company’s equity.

80% OF COMPANIES HAVE A 4 YEAR VESTING CYCLE

A significant 80% of companies employ a vesting cycle of 4 years, while the remaining 20% have a vesting period extending beyond 4 years.

70% OF COMPANIES VIEW ESOPS POSITIVELY

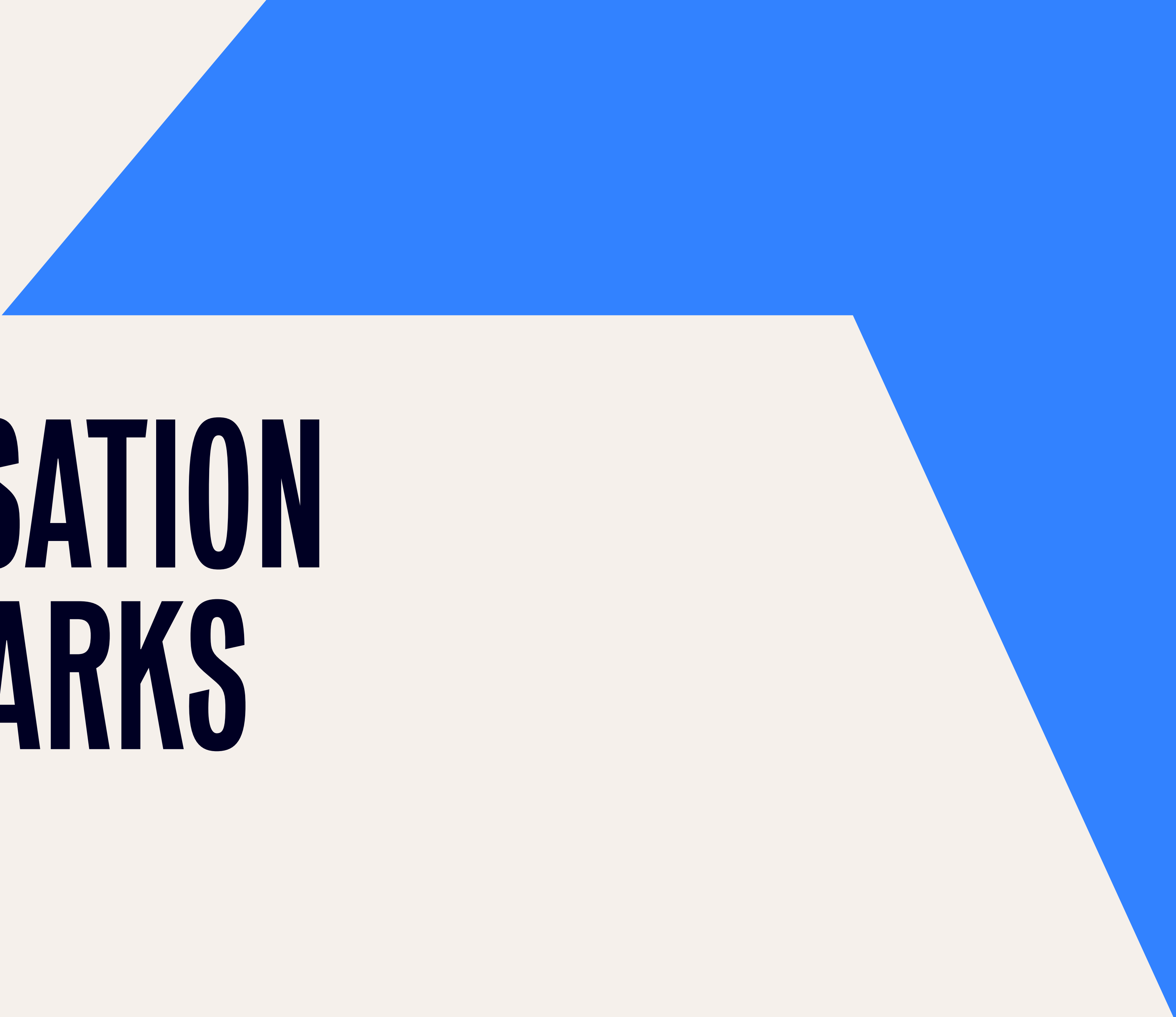
Around 70% of companies have reported a positive shift in attitude towards ESOP plans and allocations in recent years.

80% OF SENIOR EMPLOYEES VIEW ESOPs AS FAVOURABLE

Acceptance rate is higher at senior levels – standing at around 80%. Among entry- to mid-level employees, ESOPs are gaining ground, with 40% to 50% viewing them favourably.

50% OF COMPANIES EXPLORED ADDITIONAL EQUITY GRANTS

50% of companies have explored offering additional equity grants, given the muted cash increments observed in the last financial year.

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COMPENSATION BENCHMARKS

TECHNOLOGY FUNCTION



ENGINEERING

Annual compensation in Rs Lakhs

Years of Experience	Seed Stage			Series A and Series B			Mid to Large Growth Stage		
	Minimum	Average	Maximum	Minimum	Average	Maxiumum	Minimum	Average	Maximum
1-3 years	9	17	25	12	21	30	15	25	35
3-6 years	18	26	35	25	32	40	30	40	50
6-10 years	30	40	50	40	50	60	50	65	80
10-15 years				60	72	85	75	100	125

PRODUCT MANAGEMENT

Years of Experience	Seed Stage			Series A and Series B			Mid to Large Growth Stage		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Average	Maximum
1-3 years	10	18	25	12	21	30	18	26	35
3-6 years	20	30	40	25	32	40	30	42	55
6-10 years	35	45	55	40	55	70	55	68	80
10 -15 years				60	70	80	80	105	130



DESIGN

Years of Experience	Seed Stage			Series A and Series B			Mid to Large Growth Stage		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Average	Maximum
1-3 years	10	15	20	12	16	30	15	22	30
3-6 years	20	28	35	25	35	45	25	37	50
6-10 years	35	42	50	40	50	60	45	57	70
10-15 years				60	70	80	70	95	120

DATA SCIENCE

Years of Experience	Seed Stage			Series A and Series B			Mid to Large Growth Stage		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Average	Maximum
1-3 years	15	20	25	15	22	30	18	26	35
3-6 years	25	32	40	30	38	45	35	45	55
6-10 years	40	50	60	45	60	75	55	70	85
10-15 years				65	75	85	85	122	160

1. Candidates with 10-15 years of experience would be a part of the leadership team in Seed and Series A stage startups.
2. For the above-mentioned compensation ranges, the talent pool comes with moderate to strong prior functional expertise and experience working on complex problems combined with experience working in startups and MNCs. These candidates can be hired for solving complex tech challenges.
3. We have not taken into consideration outlier compensations across different stages of companies in the above-mentioned ranges.
4. To the extent that compensation exceeds the above cash ranges or in outlier scenarios, ESOP allocation can be used in place of the incremental cash component.



CONSUMER TECH/D2C

Years of Experience	Seed Stage			Series A			Series B		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Average	Maximum
4–8 years	14	24	31	17	29	42	20	36	56
8–12 years	16	30	40	18	36	54	26	52	76
12–16 years	20	36	49	26	44	63	38	68	100
16–20 years				35	59	72	45	93	149

*D2C companies will have a lower range as compared to Consumer Tech. The ranges take into account category roles across consumer businesses.

FINTECH

Years of Experience	Seed Stage			Series A			Series B		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Average	Maximum
4–8 years	12	21	28	15	28	40	18	32	51
8–12 years	15	29	39	21	37	62	27	49	74
12–16 years	24	37	55	29	50	80	36	68	105
16–20 years				42	69	108	51	89	132



ENTERPRISE/SAAS

Years of Experience	Seed Stage			Series A			Series B		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Average	Maximum
4–8 years	11	16	23	14	22	31	17	27	47
8–12 years	14	24	32	20	32	58	26	42	70
12–16 years	18	33	49	24	41	71	32	55	95
16–20 years				33	57	93	41	81	120



CONSUMER TECH/D2C

Years of Experience	Seed Stage			Series A			Series B		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Average	Maximum
4–8 years	8	17	28	11	21	30	15	37	44
8–12 years	12	29	40	20	34	47	24	51	80
12–16 years	26	39	50	30	41	64	38	68	99
16–20 years				33	55	96	41	87	154

Annual compensation in Rs Lakhs

FINTECH

Years of Experience	Seed Stage			Series A			Series B		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Average	Maximum
4–8 years	9	16	24	11	20	25	14	32	41
8–12 years	12	28	38	18	32	44	22	50	64
12–16 years	23	38	47	26	43	62	30	56	81
16–20 years				30	52	90	36	72	120



ENTERPRISE/SAAS

Years of Experience	Seed Stage			Series A			Series B		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Average	Maximum
4-8 years	8	16	24	12	20	30	14	28	40
8-12 years	12	23	36	18	28	42	22	43	57
12-16 years	21	33	44	24	37	55	27	51	75
16-20 years				33	47	77	36	67	95

*Marketing includes sub functions such as demand generation, performance marketing, content, and brand marketing

- 1. The above ranges cover only India-based teams across functions and does not include overseas geographies
- 2. Candidates with experience of 15 years and more are usually found at Series A and upward companies as compared to Seed stage
- 3. We have not taken into consideration outlier compensations across different stages of companies in the above-mentioned ranges
- 4. For the above-mentioned compensation ranges, the talent pool comes with moderate to strong prior functional expertise across their respective functions and can be hired across growth-stage companies
- 5. The above ranges do not include any variable multiplier
- 6. '12-16 years' and '16-20' years ranges include both these categories of candidates - leadership/function heads and those at no. 2/3 levels

BUSINESS FUNCTIONS - STRATEGY



Years of Experience	Seed Stage			Series A			Series B		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Average	Maximum
2-11 years	8	34	60						
2-13 years				18	39	60			
4-15 years							30	62	95

*Strategy includes Chief of Staff, Founder’s Office and CEO’s Office roles. Depending on the funds raised and the depth of the role, the compensation spans a broad range. A typical candidate profile for these roles includes consulting experience at one of the Big Three firms, as well as experience at an early-stage startup.



FINANCE

Annual compensation in Rs Lakhs

Years of Experience	Seed Stage			Series A			Series B		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Average	Maximum
4-8 years	8	16	22	9	21	33	17	30	44
8-12 years	11	29	47	21	39	61	23	47	78
12-16 years	21	39	58	27	56	74	29	55	88
16-20 years				36	60	94	41	86	116

*Includes candidates with skillsets across Controllershship, Business Finance, FP&A

HUMAN RESOURCES

Years of Experience	Seed Stage			Series A			Series B		
	Minimum	Average	Maximum	Minimum	Average	Maximum	Minimum	Avearge	Maximum
4-8 years	6	11	14	8	12	20	11	17	28
8-12 years	9	16	25	11	19	31	14	29	52
12-16 years	12	17	30	14	24	36	17	41	86
16-20 years				18	34	47	20	52	110

*Includes candidates across Talent Acquisition, HR Generalists, HR Operations roles

IT IS GREAT TEAMS THAT BRIDGE THE GAP BETWEEN IDEA AND REALITY

Elevation’s portfolio talent services team works closely with founders for their Leadership Hiring needs across functions, and provides Market Intelligence, Research and Consulting support.

For more granular insights into compensation and talent trends in the startup ecosystem, contact the authors of this report.

Authors



Kallan H
VP – Talent,
Elevation Capital
kallan@elevationcapital.com



Dipesh Jain
AVP – Talent,
Elevation Capital
dipesh@elevationcapital.com

Elevation’s talent team been instrumental in hiring 100+ mid-senior executives for portfolio startups

TECHNOLOGY	BUSINESS
Engineering	Finance
Product Management	Marketing
Data Science	Sales & Customer Success
Product Design	Chief of Staff



ABOVE. BEYOND. TOGETHER.



+91 124 4965500



@ElevCap



@ElevationCap



info@elevationcapital.com



Elevation Capital



@elevationcap

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